

THE INVESTigator

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Restrictions on International Funds

Recently SEBI has restricted AMC's from investing in international stocks/funds because of RBI limits on overseas investments. Let us understand what exactly is the case and **that investors should not worry about this.**

- ✓ RBI has specified an upper limit to which the entire mutual fund industry can invest in overseas investments. This limit as on date (28th Feb 2022) is at **US \$7 billion for the entire MF industry** (approx. Rs 52500 Cr).
- ✓ SEBI in turn has its own rule that puts a limit on the maximum amount one single AMC or fund house can invest abroad. Currently this limit is at **US \$ 1 billion per AMC** (approx. Rs 7500 Cr)

Lately the interest of investors in choosing international funds has increased considerably and gradually the limits mentioned above are about to be breached.

Therefore, international funds and many other funds that invest only a part of their portfolios abroad have suspended new inflows. **Investors should note that this suspension is temporary and once the limits are revised upwards, the suspension shall be revoked.**

The limit has been revised several times in the past also. Here is a glimpse of the past revisions:

- ❖ 2007 – RBI's MF industry limit \$ 5 billion and SEBI's AMC limit \$ 300 Mn.
- ❖ 2008 – RBI's MF industry limit \$ 7 billion and SEBI's AMC limit \$ 300 Mn.
- ❖ 2020 – RBI's MF industry limit \$ 7 billion and SEBI's AMC limit \$ 600 Mn.
- ❖ 2021 – RBI's MF industry limit \$ 7 billion and SEBI's AMC limit \$ 1 billion.

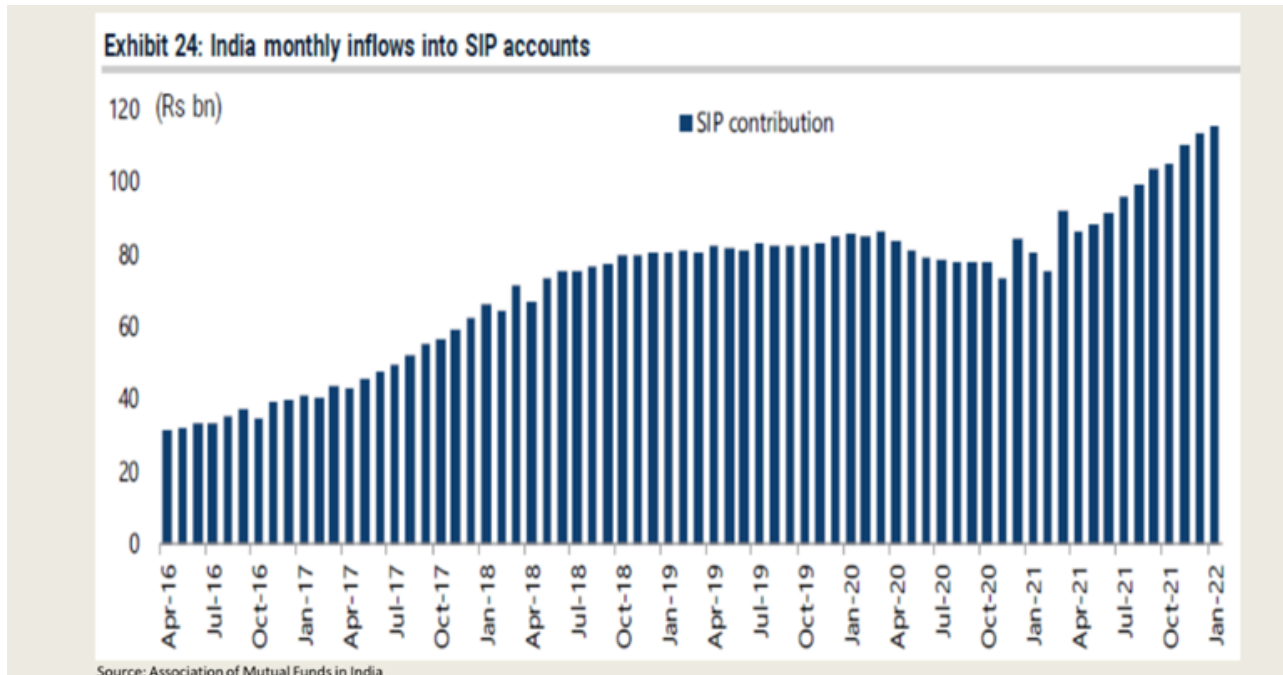
Investors should also note that their existing investments in the impacted funds will not get affected by the suspension which is temporary.

March: Last Month to Invest in Tax – Saving (ELSS) Funds

Investors should note that all pending investments under Section 80C have to be completed in the month of March. Under Section 80C investors get a deduction of Rs 150000. As on 28th Feb 2022, the tax – saving category of funds have given more than 14% CAGR over a 5-year period

SIP: Record Inflows Prove its Popularity & Efficiency

In a healthy trend, monthly SIP inflows rose by 44% year on year to record Rs 11500 Cr in January 2022. It only shows that SIP remains the first choice of investors as an efficient tool to achieve their financial goals.



REPORTS WE CAN PROVIDE TO OUR INVESTORS - I

Short Term / Long Term Unrealized Gain Report

This report displays unrealized capital gain for the currently held schemes. It is classified as:

1. Equity Short Term
2. Equity Long Term
3. Debt Short Term
4. Debt Long Term
5. ELSS – Locked
6. ELSS – Greater Than 3 Years

This important report can also be called as **Plan My Redemption Report.**

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Mutual Fund investments are subject to market risks, read all scheme related documents carefully.



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